CITY OF BERKELEY MEASURE V

V Shall the measure levying a 0.5% sales tax in Berkeley, increasing the total sales tax rate in the City to 10.75%, estimated to generate $9,000,000 to $10,000,000 annually, with proceeds placed into the General Fund for general City uses, including but not limited to sustaining fire, police and 911 dispatch services, youth and senior services, and community programs, until ended by the voters, with independent audits, be adopted?	**YES** **NO**

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE V

This measure was placed on the ballot by the City Council of the City of Berkeley.

The measure would adopt the "2026 Transactions and Use Tax Ordinance." The Ordinance would impose a retail transactions and use tax (sales tax) increasing the sales tax rate in Berkeley by one-half of one percent (0.5%), or one half cent, on every dollar of taxable sales of goods in the City, and on the taxable storage, use or consumption in the City of goods purchased. The measure would bring the aggregate sales tax rate in Berkeley to 10.75%, subject to voter approval of any other sales tax increases applicable in the City.

This would be a general tax, meaning the revenue from the tax would be placed into the General Fund and could be spent on any valid municipal purpose.

If adopted, the tax would go into effect beginning April 1, 2027, and last until ended by the voters. The tax would be paid in addition to current sales taxes and would be collected at the same time and in the same manner as existing sales taxes by the California Department of Tax and Fee Administration, with the revenue then paid over to the City.

The City estimates the tax will generate $9 to $10 million annually. Proceeds from the tax would be subject to the same independent annual audit requirements as other general fund revenue.

A "Yes" vote is a vote in favor of the tax. A "No" vote is a vote against the tax. This measure will be approved if it receives a simple majority of "Yes" votes.

s/FARIMAH FAIZ BROWN
Berkeley City Attorney

ARGUMENT IN FAVOR OF MEASURE V

Keep Berkeley Safe and Vibrant, no matter what the Federal Government does. Yes on U and V keeps funds in Berkeley!

Berkeley is at a crossroads. As basic safety, infrastructure maintenance, and demands for City services rise, we need the funds to maintain the basic safety and quality of life our communities expect and deserve.

Your Yes on U and V votes keeps our Berkeley tax dollars in Berkley to maintain critical services now and into the future, with money the Federal government cannot take away.

YES on V Keeps Berkeley Safe

Years of State takeaways of local funding from California's cities and recent cuts by the Federal Government means Berkeley is facing a structural budget deficit — despite already reducing budgets across all City Departments, including Fire and Police services.

Your Yes on V vote would prevent forced cuts on Fire and Police Departments from the recent budget shortfall, prevent the closure of Fire Station 4, and maintain the 911 emergency response and neighborhood safety patrols we rely upon.

YES on V Keeps Berkeley Vibrant

Nothing is more important than the safety of our families and neighborhoods. Yes on V protects vital youth services like supervised afterschool programs that keep children safe and out of trouble, and ensures parks and public spaces are safe and clean for everyone.

Measures U and V were developed after months of community and stakeholder outreach and input, and were drafted to maintain Berkeley's quality of life, save money, and make us all safer.

"Join first responders, local small businesses, and community advocates — vote YES on U & V" Amory Langmo, President, Berkeley Fire Fighters Association

Learn more, visit safevibrantberkeley.com

s/ADENA ISHII
Mayor of Berkeley

s/DR. SHARON GOLDFARB
Co President of League of Women Voters of Berkeley Albany Emeryville

s/JOHN CANER
Local Business Leader

s/ERIC WEAVER
Neighborhood Wildfire Safety Organizer

s/JENNY WONG
Berkeley City Auditor

REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE V

We all want a safe, vibrant Berkeley with excellent firefighters, reliable 911 service, wildfire protection, and well-maintained public facilities. We also want a city that residents and small businesses can afford.

Berkeley already has an annual budget approaching $1 billion. Yet during budget deliberations, the City Council threatened to close a fire station and eliminate 6 firefighters and 21 police officers and dispatchers — chopping essential services while shielding favored projects.

Now they're invoking public safety to justify another tax. Sound fiscal management would prioritize fundamental emergency preparedness and resilience services within the substantial revenue taxpayers already provide.

Measure V does not guarantee that revenues will fund proponents' highlighted projects. By law, the current or future City Councils could spend the funds on anything they like. **It is a regressive sales tax, making purchases more expensive and falling disproportionately on students, service workers, and lower-income households. Amid unprecedentedly high living costs, affordability should be the City's priority.**

Our Council has run up a $30 million structural deficit. They've **tripled** this since voters granted Councilmembers "full-time" salaries—even though several maintain lucrative outside work, and under our charter, staff runs the city. Responsible leaders sacrifice from the top: Why did Council offer no ballot measure to return their salaries to half-time, offering substantial savings to preserve other City jobs?

Berkeley deserves responsible budgeting, clear priorities, and real accountability. Let's protect essential services, spend existing revenues wisely, and keep Berkeley safe, vibrant, resilient — and affordable.

Vote NO on Measure V.

s/MCKINLEY CRESPO
Small Business Owner

s/BARBARA GILBERT
Former Aide to Berkeley Mayor Shirley Dean

s/DONNA DEDIEMAR
neighborhood activist and former small business owner

s/JOSHUA GLATT
Software engineer and composer

s/ISABELLE GASTON
Assistant Treasurer, Affordable Berkeley

ARGUMENT AGAINST MEASURE V

A **NO** vote is not a vote against police, firefighters, parks, libraries, or other essential city services. It is a vote for accountability.

Berkeley residents have repeatedly supported taxes to fund important public services, including significant increases in 2024. Before asking taxpayers to pay even more, City Council should demonstrate that it is managing existing revenues responsibly and prioritizing basic city services.

Regressive Taxation

This measure would permanently increase Berkeley's sales tax from **10.25% to 10.75%**, regressive taxation that falls hardest on students, low-income households, seniors, and working families. The regional transportation sales tax would further hike this rate to **11.25%**, one of the country's highest. **During an affordability crisis, Berkeley should not target the most economically vulnerable**. And higher local sales taxes would further depress Berkeley's neighborhood businesses.

Consumer Hardship Without Spending Reform

Supporters say this tax will help fund police, fire, and other essential services. However, the ordinance deposits the revenue into the City's General Fund, where it is available for any purpose rather than being legally dedicated to those specific services. Berkeley projects a **$29.5 million structural deficit by Fiscal Year 2028**, underscoring the need for long-term fiscal reform and responsible budgeting.

The proposed sales tax would generate approximately $10 million per year, but Berkeley's expenditures are projected to continue growing faster than that new revenue. Unless the City addresses the underlying drivers of its structural deficit, today's regressive tax increase will not solve tomorrow's budget problem.

Berkeley deserves excellent public services and responsible financial management. Before asking taxpayers to approve another **regressive** tax that remains in effect unless repealed or amended by the voters, City Council should demonstrate disciplined budgeting, prudent spending, and accountability for the dollars it already receives.

Vote NO.

s/ISABELLE GASTON
Assistant Treasurer, Affordable Berkeley

s/FRANCES HASELSTEINER
Retired State Employee

s/DONNA DEDIEMAR
Neighborhood Activist

s/JOSHUA GLATT
Software engineer and composer

s/NANCY A. RADER
Former Disaster and Fire Safety Commissioner

REBUTTAL TO ARGUMENT AGAINST MEASURE V

Your YES vote on Measures U & V maintains Berkeley's safety and vibrancy, with fiscally accountable approaches.

To maintain Berkeley's firefighters, 911 response, police, and youth services, join us in voting YES on V.

When every second counts, we want our 911 fire and emergency medical calls answered quickly. We want our kids, parks, neighborhoods, and business corridors safe and our fire stations open. But state and federal cuts have gutted local budgets and threatened critical city services. We need locally controlled revenue that's protected from state or federal takeaways.

Measure V is a modest, ½ cent sales tax to provide local funding for core services, simply bringing Berkeley to the same rate as neighboring cities like Oakland and Albany.

Voting YES generates $10 Million annually in local funding to address projected budget deficits that threaten layoffs of police officers/ firefighters, closure of a fire station, and cuts to vital youth services.

- Measure V isn't a tax on your home or property.
- Measure V doesn't apply to food purchases or prescription medication.

Measure V was developed with significant community feedback to identify resident priorities that will be addressed with Measure V funding.

"Berkeley Firefighters endorse YES on V – it'll ensure we keep all our fire stations open and fire fighters on the job." *Berkeley Firefighters President Amory Langmo.*

Join the League of Women Voters Berkeley/Emeryville/ Albany and Berkeley City Auditor Jenny Wong in voting Yes on Measure V to combat federal and state cuts.

Vote YES on U & V!

s/ADENA ISHII
Mayor

s/DR. SHARON GOLDFARB
Co-President League of Women Voters of Berkeley Albany Emeryville

s/HENRY C. LEVY
Alameda County Treasurer

s/GORDON WOZNIAK
Former Council Member, Vision 2050 Task Force

s/JOHN CANER
Local Business Leader

FULL TEXT OF MEASURE V

ORDINANCE NO. _____

AMENDING THE BERKELEY MUNICIPAL CODE BY ADDING CHAPTER 7.34 TO IMPOSE A ONE-HALF OF ONE PERCENT (0.5%) TRANSACTIONS AND USE TAX TO BE ADMINISTERED BY THE CALIFORNIA DEPARTMENT OF TAX AND FEE ADMINISTRATION

BE IT ORDAINED by the People of the City of Berkeley as follows:

Section 1. That the Berkeley Municipal Code is hereby amended to add Chapter 7.34 to read as follows:

7.34.010 – Title

This chapter shall be known as the "2026 Transactions and Use Tax Ordinance."

7.34.020 – Purpose

This ordinance is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

a. To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code, other than Section 7251.1, and pursuant to Section 7299 of Part 1.7 of Division 2 which authorizes the City to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

b. To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

c. To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

d. To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this ordinance.

7.34.030 – Operative Date

"Operative Date" means the first day of the first calendar quarter commencing more than 110 days after the adoption of this ordinance. For purposes of Revenue and Taxation Code section 7265, this ordinance shall be considered adopted on the date of the election in which it is approved by the qualified voters of the City.

7.34.040 – Contract with State

Prior to the Operative Date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the Operative Date, it shall nevertheless so contract and in such a case, the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

7.34.050 – Transactions Tax Rate

For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the City at the rate of 0.50 percent of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this ordinance.

7.34.060 – Place of Sale

For the purposes of this ordinance, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

7.34.070 – Use Tax Rate

An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of this ordinance for storage, use or other consumption in said territory at the rate of 0.50 percent of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

7.34.080 – Adoption of Provisions of State Law

Except as otherwise provided in this ordinance and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this ordinance as though fully

set forth herein.

7.34.090 - Limitations on Adoption of State Law and Collection of Use Taxes

In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxation Code:

a. Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefor. However, the substitution shall not be made when:

   1. The word "State" is used as a part of the title of the State Controller, State Treasurer, State Treasury, or the Constitution of the State of California;

   2. The result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this Ordinance.

   3. In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

      a. Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code; or

      b. Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

   4. In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797, or 6828 of the Revenue and Taxation Code.

b. The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

   1. "A retailer engaged in business in the District" shall also include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the State by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of Title 26 of the United States Code and the regulations thereunder.

7.34.100 – Permit Not Required

If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this ordinance.

7.34.110 - Exemptions and Exclusions

a. There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

b. There are exempted from the computation of the amount of transactions tax the gross receipts from:

   1. Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

   2. Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

      a. With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury signed by the buyer stating that such address is, in fact, his or her principal place of residence; and

      b. With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

   3. The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

   4. A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to

the operative date of this ordinance.

5. For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

c. There are exempted from the use tax imposed by this ordinance, the storage, use or other consumption in this City of tangible personal property:

1. The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

2. Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

3. If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

4. If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this ordinance.

5. For the purposes of subparagraphs 3 and 4 of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

6. Except as provided in subparagraph (7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

7. "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the City.

d. Any person subject to use tax under this ordinance may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

7.34.120 – Amendments

All amendments subsequent to the effective date of this ordinance to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, shall automatically become a part of this ordinance, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this ordinance.

7.34.130 – Enjoining Collection Forbidden

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this ordinance, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

7.34.140 – Annual Audit

The proceeds resulting from this transactions and use tax shall be deposited into the City's General Fund and become subject to the same independent annual audit requirements as other general fund revenue.

7.34.150 – Authorization and Limitation on the Issuance of Bonds

The City shall be authorized to pledge revenues generated by this tax to the repayment of limited tax bonds or other forms of indebtedness authorized under this Section. The Council shall by ordinance or resolution, as applicable, establish the terms of any limited tax bonds or other forms of indebtedness authorized hereby, including but not limited to, the amount of the issue, date, covenants, denominations, interest rate or rates, maturity or maturities, redemption rights, tax status, manner of sale, and such other particulars as are necessary or desirable.

7.34.160 – Severability

If any word, phrase, sentence, part, section, subsection, or other portion of this ordinance, or any application thereof to any person or circumstance is declared void, unconstitutional, or invalid for any reason, then such word, phrase, sentence, part, section, subsection, or other portion, or the prescribed application thereof, shall be severable, and the remaining provisions of this chapter, and all applications thereof, not having been declared void, unconstitutional or invalid, shall remain in full force and effect. The People of the City of Berkeley hereby declare that they would have passed this ordinance, and each section, subsection, sentence, clause and phrase thereof, irrespective of the fact that any one or more sections, subsections, sentences, clauses or phrases had been declared invalid or unconstitutional.

7.34.170 – Savings Clause

No section, clause, part, or provision of this Chapter shall be construed as requiring the payment of any tax that would be in violation of the Constitution or laws of the United States or of the Constitution or laws of the State of California.

7.34.180 – Liberal Construction

This Chapter shall be liberally construed to effectuate its purpose.

Section 2 – California Environmental Quality Act Requirements.

This Ordinance is exempt from the California Environmental Quality Act ("CEQA"), Public Resources Code section 21000 et seq., under, including without limitation, Public Resources Code section 21065 and CEQA Guidelines sections 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the activity authorized herein may have a significant effect on the environment and pursuant to Public Resources Code section 21080, subdivision (b)(8), and CEQA Guidelines section 15273 as the approval of government revenues to fund existing services.

Section 3 – Effective Date

This ordinance relates to the levying and collection of the City transactions and use tax and shall take effect ten days after declaration of the election results by the City Council pursuant to Elections Code section 9217.

Section 4 – Amendment, repeal, and reenactment.

The City Council may repeal this ordinance, or amend it in any manner that does not result in an increase in the tax imposed herein, or add or modify exemptions, without further voter approval. If the City Council repeals this ordinance, it may subsequently reenact it without voter approval, as long as the reenacted ordinance does not result in an increase in the tax imposed herein. Except as otherwise provided in this section, this tax shall remain in effect until repealed or amended by the voters.

Section 5 – General Tax; Simple Majority Vote Requirement

This Ordinance imposes a general tax and shall be effective only if approved by a simple majority of the voters voting thereon.